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BYOB CHALLENGE · JULY 2026

D2C by the Numbers

A framework for picking profitable products — before you spend a rupee building them.

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You are the product. You feel something. That's what sells.

Don Draper · Mad Men (2007–2015)





INTRODUCTION

Hi, I'm Saurabh Jadhav.

EDUCATION

IIMB
तेजस्वि नावधीतमस्तु

EXPERIENCE

Shiprocket
accenture strategy
upGrad
AB InBev

BRANDS & STARTUPS ENGAGED

Corona
Hoegaarden
InduBevs
PETS WAY
DirectShelf
ParcelX
HOME TOG
JUMPSTARTR

A decade across beverages, D2C enablement and cross-border supply chain — and a few dozen founders I've helped stress-test the exact decision we're making today.

AGENDA

Four steps from idea to decision.

01 The Founder's Dilemma
Acknowledging the challenge every first-time D2C founder faces.

02 The Two D2C Playbooks
Your strategic fork in the road: Margin or Volume.

03 The Sanity Check
Does your idea survive its playbook? A five-part checklist.

04 Your Mission
Finding — and validating — your one winning idea.

PART ONE

The Founder's Dilemma

Acknowledging the challenge — before we hand you the tools to beat it.

THE STARTING LINE

Does this sound familiar?

"I have 20 ideas, from t-shirts to snacks. I don't know how to compare them or which has the best chance."

Analysis-Paralysis Ankit
Too many options, no way to rank them

"I'm in love with my product idea, but I'm scared the numbers won't work. How do I know if it's a real business?"

Passionate Priya
Loves the idea, fears the math

"I have a great idea for a low-priced product, but everyone says the margins are too low for D2C. Is it even possible?"

Resourceful Rohan
Low price, worried about margin

By the end of today, all three have a system — not a hunch — to decide.

HOW TO USE THIS WORKSHOP

Three things to keep in mind.

Playbooks, not prisons

Two proven paths. Your job is to grasp the principles and apply them to your own idea.

Coach, not customer

My role is to stress-test your thinking and hand you a framework — not to tell you if I'd buy it.

A framework, not a final idea

Success today is leaving with a system that lets **you** make a confident decision.

THE TWO D2C PLAYBOOKS

The most important decision you'll make.

PLAYBOOK 1

The Margin Play

Higher-priced products. Win on **profit per unit**. Typically above ₹500.

PLAYBOOK 2

The Volume Play

Lower-priced products. Win on **basket size & velocity**. Typically under ₹500.

Almost every profitable D2C product commits, early, to **one** of these two.

PART TWO

Path to Profitability

Two playbooks, side by side — and the unit economics that make each one work.

MARGIN PLAY VS VOLUME PLAY

Same goal, two different engines.

	The Margin Play Above ₹500	The Volume Play Less than ₹500
Core Goal	Maximise profit on every single item.	Maximise the total value of the shopping cart.
Key Metric	Gross Profit per Unit & LTV	Average Order Value (AOV) & Order Volume
Channel Focus	Own D2C Website & Socials	Marketplaces & D2C Website
Marketing Focus	Brand Building & Community	Performance Marketing & Promotions
Logistics Policy	Offer "Free Everything" (Shipping, COD)	Charge for shipping below a threshold
Customer Policy	Generous "No Questions Asked" returns	"Replacement Only" policy

DECONSTRUCTING YOUR COGS

Your cost is never just the landed cost.



Worked example: ceramic mugs
Selling price ₹1,000

Landed cost · per unit	₹300
Packaging · box, wrap, card	₹50
Transaction fee · 2.5%	₹25
Shipping & fulfilment	₹100
Total COGS	**₹475**

Not the ₹300 you might first calculate.

THE 3×–4× RULE OF PRICING

Selling Price = 3–4× Total Cost

Total COGS	₹475
Profitable selling price	**₹1,425–₹1,900**

WHAT YOUR MARKUP ACTUALLY PAYS FOR

The gap between cost and price isn't greed.

Marketing

Customer acquisition (CAC) can easily eat **20–30%** of your selling price.

Mistakes

Returns, damages and shipping issues will happen — and eat into margin.

Your time

The countless hours running the business need to be compensated too.

Profit

What's left after every operational expense is covered. This is the point.

If the math doesn't leave room for all four, the product doesn't work — no matter how much you love it.

ONE ITEM LOSES. A BASKET WINS.

The whole game is the cart, not the item.

RECEIPT 1 · SINGLE ITEM

1 Enamel Pin

Selling price	₹299
COGS (product + ship + fees)	−₹350
Profit	**−₹51**

RECEIPT 2 · CART SALE

4 Enamel Pins · "4 for ₹999"

Selling price (AOV)	₹999
COGS (4× product + ship + fees)	−₹750
Profit	**+₹249**



Same product, same day. The only thing that changed was the **size of the basket**.

THE VOLUME PLAY

Three levers to build the basket.

01

SKU Variety

Launch with 20+ designs. Make it hard to choose just one.

02

Smart Bundling

Create 3-for-2 deals or "Starter Kits" that feel like a great value.

03

Shipping Threshold

The most powerful tool: **"Free shipping on orders over ₹799!"**

PART THREE

Finding Evidence of Demand

Become a digital detective. Don’t guess — find proof.

WHERE THE EVIDENCE LIVES

Three research desks, one verdict.

Amazon Research

- Check "Best Sellers" & "Movers & Shakers" in D2C-friendly categories.
- Look for products with 500+ reviews holding 4+ stars.
- Mine "Frequently bought together" for complementary opportunities.

Google Trends

- Compare product interest and find "Rising Queries".
- Look for consistent 6–12 month upward trends, not seasonal spikes.
- Use "Related queries" to find adjacent product opportunities.

Meta Ad Library

- Mine hashtags like #founditonamazonindia; study competitor ads.
- Which posts get the most saves? What do comments reveal?
- Use the Ad Library to see what brands are pushing hard.

Live example on each desk during the session.

THE AI RESEARCH ASSISTANT

Your new co-founder.

Use AI to ideate, analyse and validate — before you commit a single rupee.

IDEATE · ANALYSE · VALIDATE

Put AI to work across all three stages.

IDEATION PROMPTS

"Generate 15 product ideas for eco-conscious millennials under ₹2000."

"List trending kitchen gadgets that solve specific pain points."

"Suggest 10 'elevated' versions of everyday home goods."

ANALYSIS PROMPTS

"Create a detailed customer persona for someone buying a cork yoga mat."

"Identify potential objections customers might have to this product."

"Compare the pros and cons of these three product ideas."

STRESS-TESTING PROMPTS

"Act as a skeptical VC and poke holes in my product idea."

"What operational challenges might I face with this product?"

"Identify the top 5 competitors for this product in India."

PART FOUR

The Sanity Checklist

Five gates every idea must clear — read against whichever playbook you picked.

1. High Demand
2. Sharp Positioning
3. Pricing & Profitability
4. Operations & Simplicity
5. Supplier & Sourcing

01 CHECKLIST 1

High Demand

THE MARGIN PLAY

- Does it solve a clear, high-value problem or serve a passionate niche (e.g. "best travel pillow for side-sleepers")?
- Is there a strong brand story or unique angle that justifies a premium price?
- Is your target customer someone who values and will pay for quality and brand over the cheapest option?

THE VOLUME PLAY

- Does it have high "impulse buy" or "discovery" potential — fun, trendy, visually appealing, collectible?
- Is it a product where customers naturally want to buy multiples (jewellery, stickers, socks, stationery)?
- Is the target audience broad and highly active on visual platforms — Instagram, Pinterest, YouTube?

02 CHECKLIST 2

Sharp Positioning

THE MARGIN PLAY

- What is your USP? Why are you demonstrably better or different from competitors?
- Is the brand identity — visuals, packaging, tone — premium, trustworthy and professional?
- Can you explain its value in one clear sentence? (The "No-Brainer" Value Prop Test)

THE VOLUME PLAY

- Is the core appeal visual and easy to understand in under 2 seconds?
- Can you easily create 20+ SKUs — designs, colours, variations — to encourage collection and choice?
- Is the brand identity fun, relatable, and does it encourage sharing and community?

03 CHECKLIST 3

Pricing & Profitability

THE MARGIN PLAY

- Is the selling price within the ₹700–₹2,500 "sweet spot" for a considered but accessible D2C purchase?
- **The 3×–4× Rule:** is your selling price at least 3–4× your total landed cost? *The critical gate.*
- Is Gross Profit per unit high enough to comfortably cover CAC and still leave healthy profit?

THE VOLUME PLAY

- Is the single-item price low enough to be an easy, low-risk impulse buy (< ₹700)?
- **The AOV Test:** a clear strategy (20+ SKUs, bundles, shipping threshold) to push cart value above ₹800? *The critical gate.*
- Is Gross Profit on your target AOV (e.g. ₹900), not the single item, enough to cover all costs?

04 CHECKLIST 4

Operations & Simplicity

THE MARGIN PLAY

- Is it a single SKU or very limited variations (e.g. 3 colours)? Minimise complexity.
- Is it non-perishable and durable, to reduce the risk of loss and damage?
- Is it lightweight enough that "free shipping" is viable and won't destroy your margin?

THE VOLUME PLAY

- Is the product extremely lightweight and small? Non-negotiable to keep multi-item shipping low.
- Is it easy to pick, pack and store many variations without creating chaos?
- Is it durable and non-perishable? High volume increases the chance of operational issues.

05 CHECKLIST 5

Supplier & Sourcing

THE MARGIN PLAY

- Can you find a supplier who reliably delivers the high quality required to justify your price?
- **The First Tranche Test:** will your first order (Landed Cost × MOQ) be well under your initial ₹25,000 capital?

THE VOLUME PLAY

- Can you find a supplier who can handle many small variations and fast re-orders for popular designs?
- Are the MOQs per design low enough to offer a wide variety within your initial capital?

THE FINAL VERDICT

One question decides it all.

IF YOU'RE PLAYING FOR MARGIN

Does this idea have the brand potential and unit economics to win as a high-margin product?

IF YOU'RE PLAYING FOR VOLUME

Does this idea have the variety and AOV potential to win as a high-volume business?

HIGH-LEVEL UNIT ECONOMICS

The strategic view.

Metric	The Margin Play · > ₹700	The Volume Play · < ₹700
Example Categories	Minimalist jewellery, niche home goods, premium accessories, specialised hobby tools	Quirky stationery (stickers, pins), phone grips, enamel pins, beverage sachets, funky socks
Core Tactic	Justify a premium price through brand story, quality and differentiation.	Drive a higher cart value through SKU variety, bundling and impulse appeal.
Average Order Value	**₹1,200 – ₹2,500**	**₹800 – ₹1,200** (item ₹150–₹400)
Avg. Gross Margin	**65% – 80%**	**50% – 65%** (on AOV)
Landed Cost % of AOV	15% – 25%	25% – 40%
Primary Channel Focus	Own D2C website & social commerce	Marketplaces (volume) & D2C website (AOV)
Revenue Share · New vs Large	High for new brands (25–40%) as customers seek unique products.	Moderate (20–30%), but high velocity lets new players enter quickly.

DETAILED UNIT ECONOMICS

The P&L view.

Metric	The Margin Play · › ₹700	The Volume Play · ‹ ₹700
Example Categories	Minimalist jewellery, niche home goods, premium accessories, specialised hobby tools	Quirky stationery, phone grips, enamel pins, beverage sachets, funky socks
Typical Parcel Weight	**‹ 500g**	**‹ 250g** (multiple items)
Shipping Cost (Domestic)	Absorbed into margin; often offered "Free" as marketing (~₹90).	Charged below a threshold (e.g. ‹ ₹799) — a key AOV lever.
Transaction Cost (PG/MDR)	~2.5% of AOV	~2.5% of AOV
Packaging Cost	₹50 – ₹80 (premium unboxing)	₹30 – ₹50 (functional, light)
Cancellation % (pre-dispatch)	5 – 10%	8 – 15% (impulse nature)
Return / RTO %	10 – 15% (free returns as a conversion tool)	‹ 8% (strict "Replacement Only")

GROWTH BENCHMARKS

Acquisition economics.

Metric	The Margin Play · > ₹700	The Volume Play · < ₹700
Marketing Focus	Brand building & community — invest high margins in content, socials and customer delight.	Performance marketing & promotions — low CAC, bundling offers and sampling to drive impulse.
Customer Acquisition Cost	**₹250 – ₹500**	**₹100 – ₹250**
LTV : CAC Ratio	**3.5 : 1 or higher**	**2.5 : 1 or higher**
Conversion Rate	1.5% – 2.5% (considered, needs trust)	2.5% – 4% (impulse, visual, low price)

GROWTH BENCHMARKS

Channels & retention.

Metric	The Margin Play	The Volume Play
Top Performing Channels	Instagram, Pinterest, Google Ads, Email, Influencer (long-term partnerships)	Instagram, TikTok, Facebook Ads, Influencer (short-term, high-reach)
Key Marketing Promotion	"10% Off Your First Order" or "Free Shipping on All Orders"	"Buy 3, Get 1 Free," "Build Your Own Bundle," "Free Shipping over ₹799"
Loyalty & Retention	Community initiatives, exclusive offers, loyalty programs, exceptional service.	High purchase frequency — frequent drops, promotions and gamification.
Est. Orders · ₹10k/mo ad budget	**~20 – 40 orders**	**~40 – 80 orders** (lower AOV)

INTERACTIVE BREAK

Time for an exercise.

Three minutes, in your teams. Let's classify two real products.

Team exercise · 3 minutes

YOUR TURN

Margin or Volume?



PRODUCT A

High-quality leather journal

Price: **₹1,200**



PRODUCT B

Trendy phone grips

Price: **₹350**

For each product: **which playbook** would you use — and what's the **#1 question** from the checklist you'd need to answer?

WHERE THE INDIAN MARKET IS OPEN

Six categories worth betting on.

Beauty & Personal Care — $28 Bn

~5.6% CAGR, ~19% online. Room for new brands, light logistics, healthy margins (Nykaa GM 44%).

Health & Nutrition — $32 Bn

~10% annual growth. High perceived value, "vitamin-size" parcels → 60%+ gross margins.

Pet-Care — $10.5 Bn

5.6% CAGR, a quarter already D2C. Predictable AOV, sticky cohorts, subscription kibble.

Home Décor — +$4.4 Bn

10.9% CAGR (2024–29). High ticket (₹7.9k AOV) offsets heavier shipping; 25–47% margins.

Better-for-You Snacks — $3.85 Bn

7–8% CAGR. Lower AOV but 30–40% margins and high repeat frequency build loyal cohorts.

Fashion Apparel — $15.2 Bn

12.5% CAGR. Returns are a challenge, but niche brands hit 40–50% margins with focused sizing.

Each balances market depth, unit profitability and logistical ease — the three things a first-time D2C brand can't fake.

CATEGORIES TO AVOID — FOR THIS SPRINT

Four traps that fail the sanity check.

Formulated Products Skincare, cosmetics, supplements, perfumes	**The regulatory & trust hurdle.** FSSAI/GMP labs, high MOQs, stability testing — and deep customer scepticism toward anything new you ingest or apply.	Fails First Tranche · Fails Supplier · Fails Simplicity
Consumer Electronics Gadgets, devices, accessories	**The capital & support black hole.** Expensive product development, massive MOQs, and you own warranties, repairs and technical support.	Fails First Tranche · Fails Simplicity
Large & Heavy Items Furniture, large décor, lamps	**The logistics death trap.** Astronomical shipping destroys the 3×–4× rule, warehousing is costly, damage rates are high, delivery coordination is a full-time job.	Fails Simplicity · Price too high
Anything Perishable Gourmet foods, fresh flowers, meal kits	**The ticking clock of spoilage.** Expiry creates waste, cold-chain shipping is expensive, and FSSAI compliance is mandatory and non-trivial.	Fails Simplicity · Fails Supplier

BEFORE "IS IT A GOOD IDEA?" ASK "CAN IT MAKE MONEY?"

Six ways founders talk themselves into losing.

Emotional Attachment

Don't love your idea; love the data that proves it works.

Margin Miscalculation

If the math doesn't work on paper, it will never work in reality.

Time Compression

Every day you aren't selling is a day you are losing money.

Operational Complexity

Complexity is the enemy of speed; keep your product radically simple.

Niche Overspecialisation

Find a market niche enough to own, but big enough to matter.

Supply Chain Fragility

If you only have one supplier, you don't have a business.

BEFORE "IS IT A GOOD IDEA?" ASK "CAN IT MAKE MONEY?"

Run two ideas through the whole workflow.

THE WORKFLOW

1. Run at least **two product ideas** through this entire workflow.
2. Document each step — trend evidence, unit economics, checklist results.
3. Select **one winning idea** that gets a clear "GO" on the checklist.
4. Search IndiaMART — identify 3–5 potential suppliers for your winner.
5. Contact at least 2 suppliers to test responsiveness — the 7-day supplier test.

ARRIVE AT THE NEXT WORKSHOP WITH

- A single, validated product idea with clear unit economics.
- Initial supplier contacts already established.
- A one-sentence value proposition that passes the "no-brainer" test.
- Specific questions about your supply-chain strategy.

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THANK YOU

Go find the idea that makes money.

You have the framework. The next winning D2C product is a decision away — make it with numbers, not hope.

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INDICATIVE UNIT ECONOMICS · PER ORDER

Six categories, by the numbers.

Metric (FY24)	Beauty & PC	Nutraceuticals	Pet-Care	Home Décor	Healthy Snacks	Fashion Apparel
TAM & CAGR	$28 Bn · 5.6%	$32.1 Bn · 10%	$10.5 Bn · 5.6%	+$4.4 Bn · 10.9%	$3.85 Bn · 7.6%	$165 Bn · 12.3%
Large vs New split	60 / 40	70 / 30	55 / 45	75 / 25	80 / 20	65 / 35
Channel mix offline : own : mkt	81 : 9 : 10	85 : 7 : 8	65 : 25 : 10	70 : 15 : 15	60 : 20 : 20	68 : 12 : 20
Average Order Value	₹500–1,000	₹1,200+	~₹1,500	₹7,900	₹700–900	₹1,800–2,500
Gross Margin	44%	60–65%	30–40%	25–47%	30–40%	45–55%

DETAILED UNIT ECONOMICS · PER ORDER

Cost & returns, by category.

Metric (FY24)	Beauty & PC	Nutraceuticals	Pet-Care	Home Décor	Healthy Snacks	Fashion Apparel
Typical Parcel Weight	0.25 kg	0.30 kg	2 kg	3 kg	0.50 kg	0.80 kg
Shipping (domestic)	₹26 / 0.5kg	same	₹65 avg	₹65–90	₹26 / 0.5kg	₹40–50
Transaction (PG/MDR)	1–3% GMV	same	same	same	same	same
Packaging Cost	₹40–100	similar	₹60–120	₹120–180	₹40–60	₹80–120
Cancellation % (pre-dispatch)	7–10% / 25–30% COD	6–8%	10–12%	5–8%	8–12%	12–15%
Return / RTO %	~15%	10–12%	12–15%	18–22%	20–25%	25–30%

MARKETING BENCHMARKS

Acquisition & retention, by category.

Metric (FY24)	Beauty & PC	Nutraceuticals	Pet-Care	Home Décor	Healthy Snacks	Fashion Apparel
Customer Acquisition Cost	₹150–300	₹200–400	₹250–500	₹400–800	₹100–250	₹200–450
LTV : CAC Ratio	3.5 : 1	4 : 1	5 : 1	3 : 1	2.5 : 1	3.5 : 1
Repeat Rate (12 mo)	35–45%	60–70%	55–65%	25–35%	40–50%	30–40%
Order Frequency	2.5× / yr	4× / yr	3.5× / yr	1.5× / yr	3× / yr	2.8× / yr
Conversion Rate	2.5–3.5%	1.8–2.8%	3–4%	1.5–2.5%	2–3%	1.8–2.8%
Top Channels	IG 40 · FB 25 · Ggl 20	Ggl 45 · YT 25 · Email 15	FB 35 · IG 30 · WA 20	Pin 40 · IG 30 · Ggl 20	IG 50 · FB 25 · Infl 15	IG 45 · FB 25 · Infl 20
Email Open · WhatsApp CTR	22–28% · 12–18%	25–32% · 15–22%	24–30% · 20–25%	20–26% · 10–15%	18–24% · 14–20%	20–26% · 16–22%

CATEGORY SCORECARD

How six categories score against the checklist.

Checklist Item	Home & Kitchen	Fashion Accessories	Beauty Tools	Pet Accessories	Healthy Snacks	Nutraceuticals
1 · Goldilocks Price (₹700–2500)	Pass	Excellent	Excellent	Pass	Hurdle needs bundles / subs	Pass monthly / large sizes
2 · First Tranche (<₹25k)	Hurdle MOQs can be high	Pass	Excellent	Pass	Fail 100kg+ runs	Fail GMP MOQ 1000+
3 · 7-Day Supplier Test	Pass	Excellent	Pass	Pass	Hurdle FSSAI co-packer	Fail GMP lab needed
4 · "No-Brainer" Value Prop	Pass	Pass	Excellent	Pass	Pass	Hurdle high skepticism
5 · Simplicity Test	Hurdle fragility / weight	Excellent	Excellent	Pass	Fail perishable	Fail regulatory burden